

Springboard Trading – Day 4

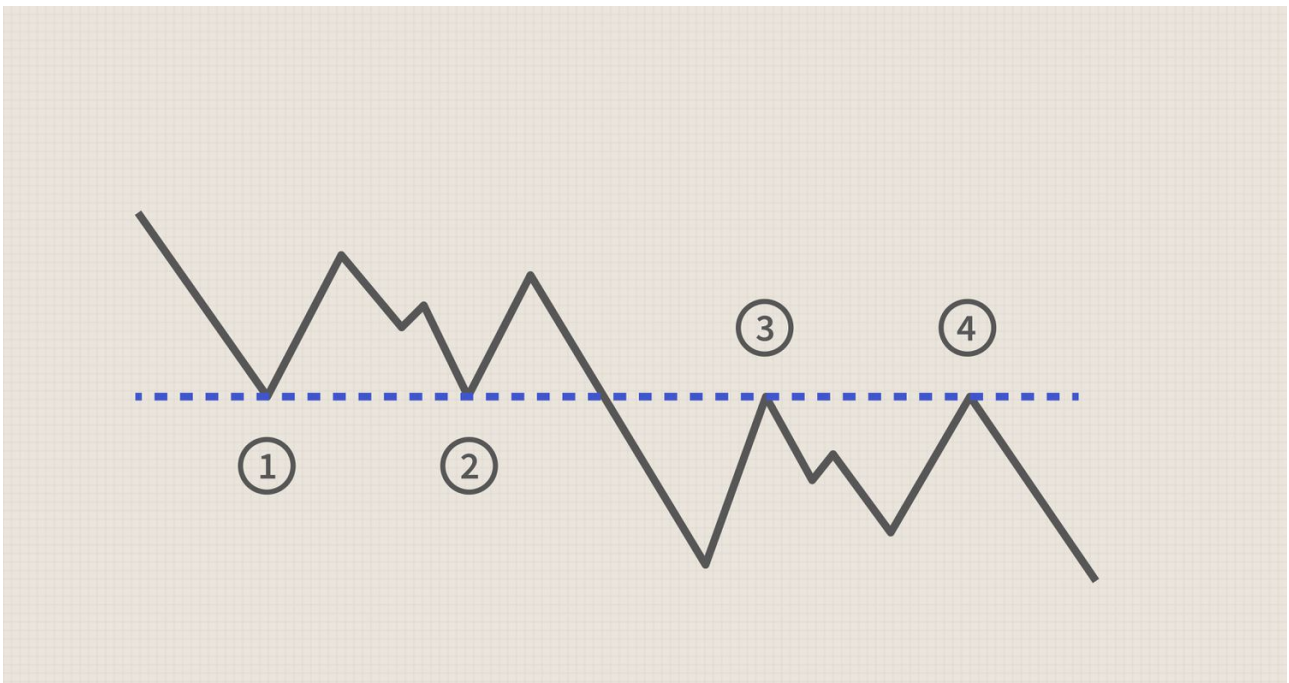
Role Reversal, Fake Breakouts & Smart Money Traps

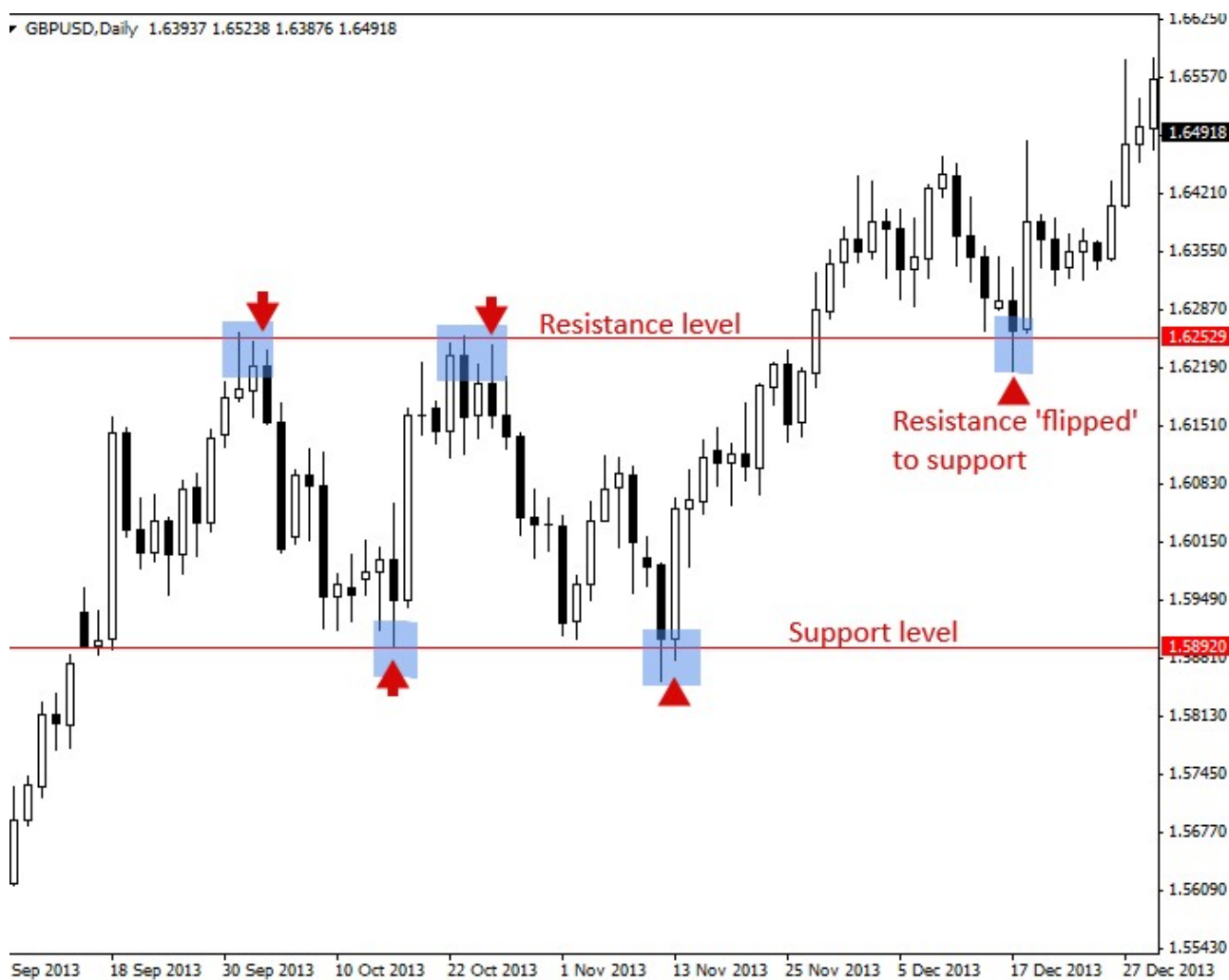
Objective of Day 4

By the end of today, you will understand:

- **Role Reversal** (Resistance → Support, Support → Resistance)
- How to spot **fake breakouts**
- How **smart money traps** retail traders
- Why patience beats prediction

1 Role Reversal — The Most Powerful Level Concept





Concept

When price **breaks resistance strongly**

➡ That old resistance often becomes **new support**

When price **breaks support strongly**

➡ That old support often becomes **new resistance**

Why This Works (Psychology)

Old sellers think:

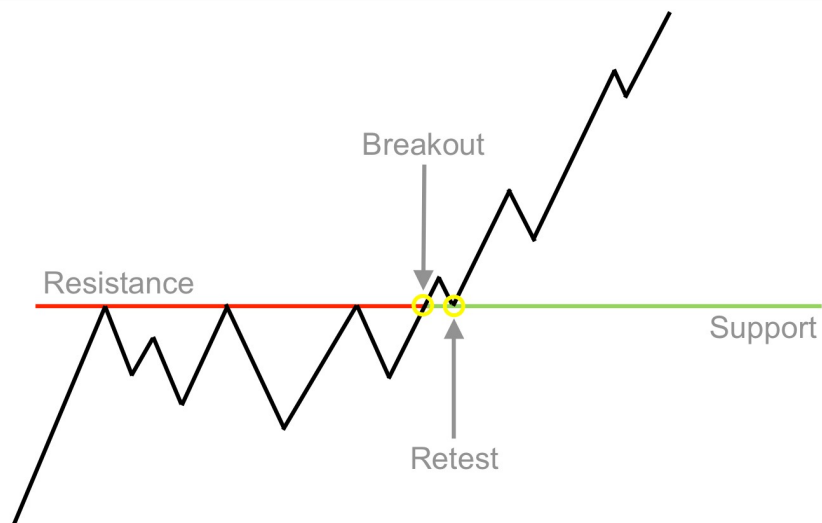
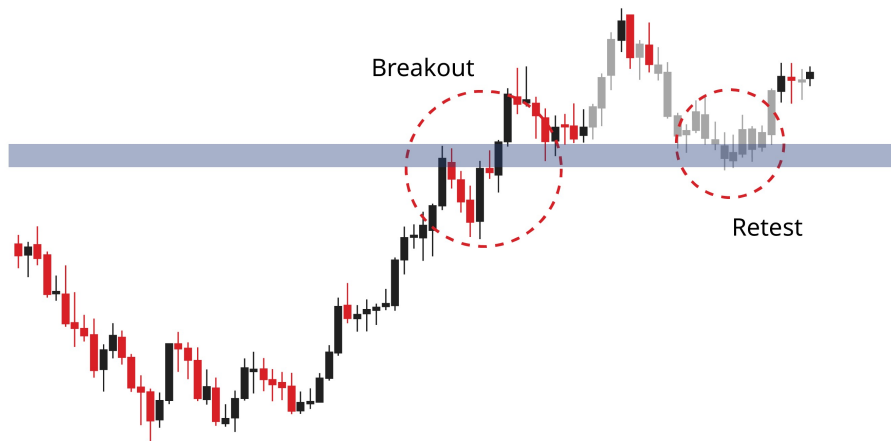
“If price comes back, I will buy.”

Old buyers think:

“I missed breakout, I will enter on retest.”

📌 This creates **strong demand or supply**.

2 Role Reversal = High Probability Springboard



Ideal Structure

- 1 Level breaks with strength
- 2 Price moves away
- 3 Price returns to **retest**
- 4 Strong reaction occurs again

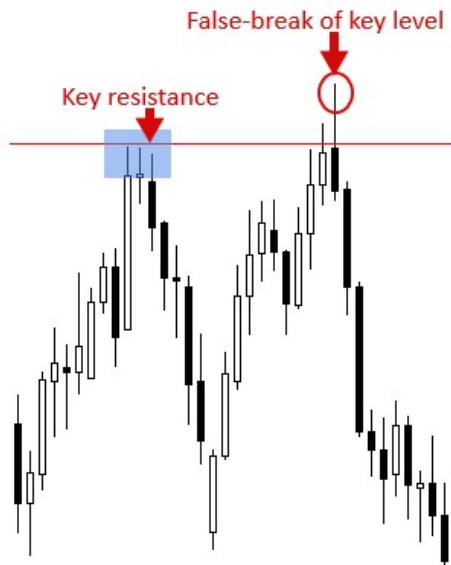
This retest acts as a **springboard continuation trade**.

Breakout is power

Retest is **confirmation**

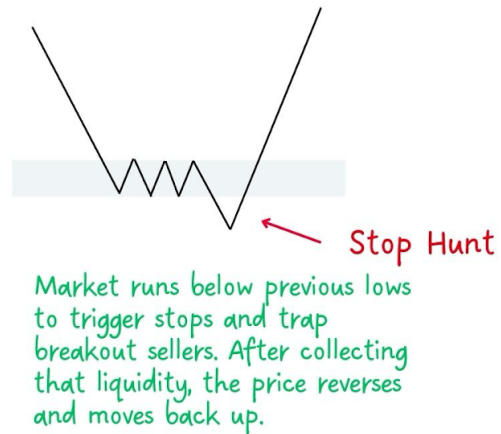
3 Fake Breakouts — The Market's Favorite Trap

False Breakout Patterns



STOP HUNTS

Stop Hunt



Fake Breakout Happens When:

- Price breaks level briefly
- Retail traders enter breakout
- Price **immediately reverses back**

 This is called:

- Stop-loss hunt
- Liquidity grab
- Retail trap

Why Fake Breakouts Occur?

Smart money needs:

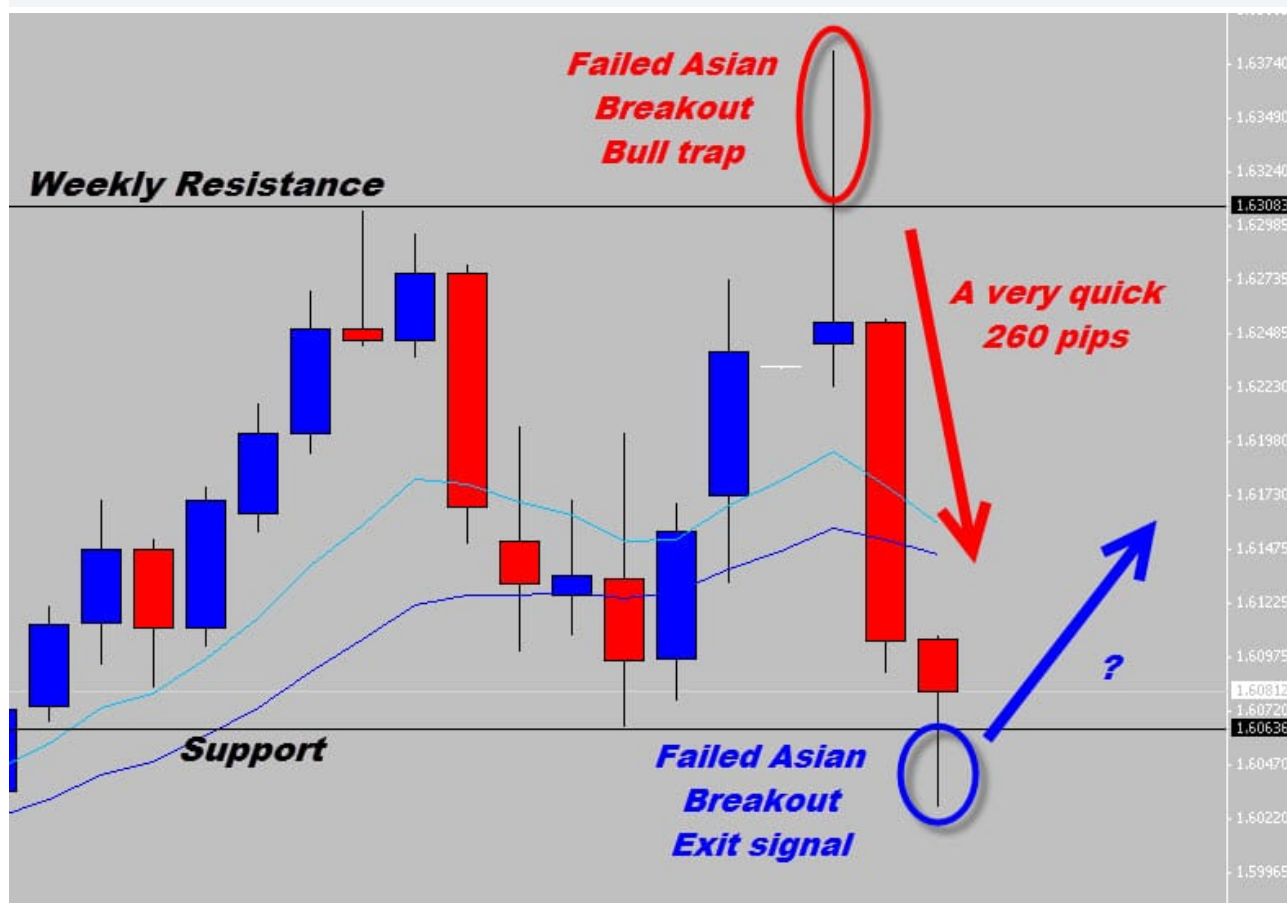
- Retail breakout buyers
- Retail stop-loss liquidity

So they:

-  Push price beyond level
-  Trigger entries
-  Reverse aggressively

Market is designed to **trap emotional traders**

4 How to Identify a Fake Breakout



Signs of Failure:

- ✗ No volume expansion
- ✗ Long wick beyond level
- ✗ Candle closes back inside range
- ✗ No follow-through

📌 Rule:

If breakout is real → price **accepts above level**

If breakout is fake → price **rejects and returns**

5 Real Breakout vs Fake Breakout



Real Breakout:

- ✓ Strong body close beyond level
- ✓ Volume expansion
- ✓ Continuation candles

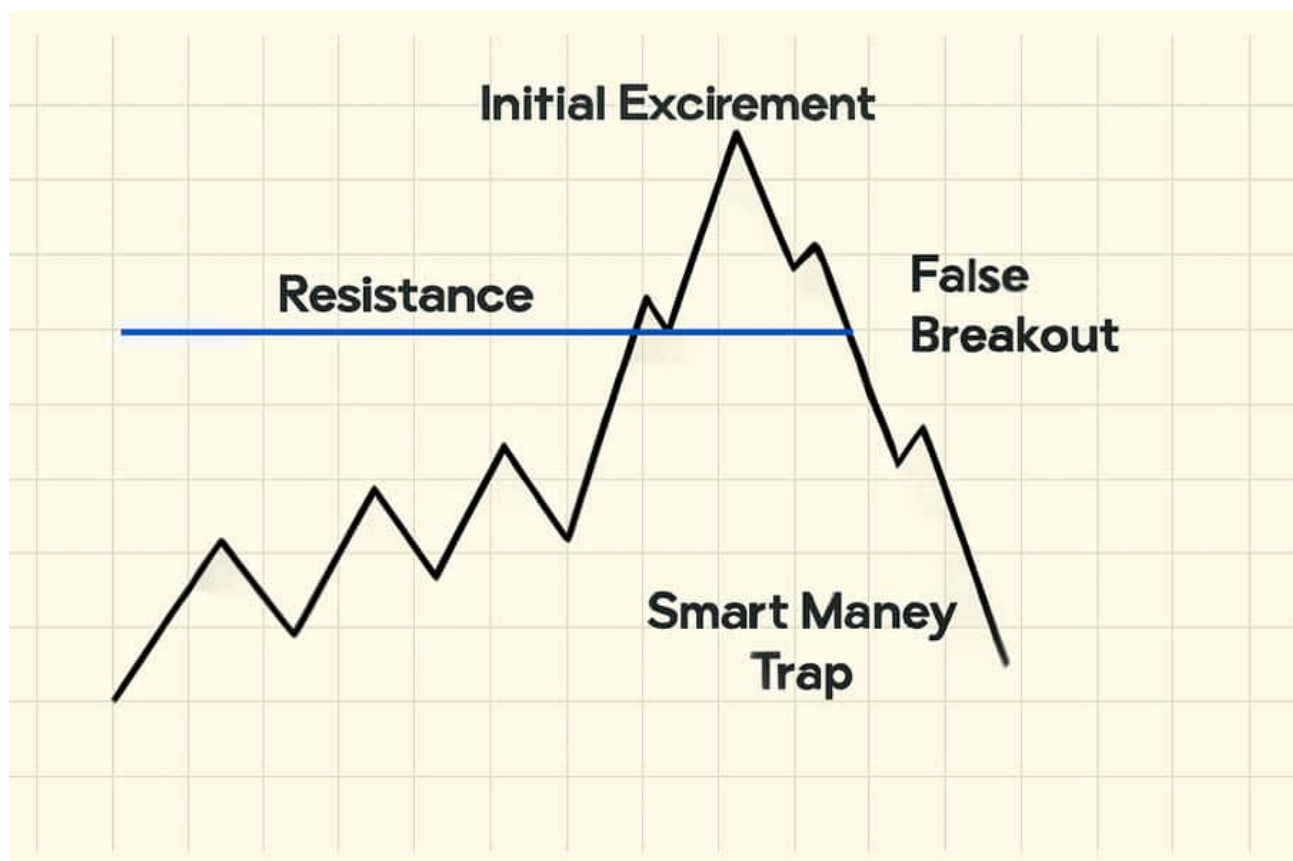
Fake Breakout:

- ✗ Small body
- ✗ Wick rejection
- ✗ Immediate reversal

Close > Touch

Acceptance > Excitement

6 How Smart Money Hunts Retail Traders





Retail Behavior:

- Buys breakout
- Sells breakdown
- Enters emotionally

Smart Money Behavior:

- Sells to breakout buyers
- Buys from panic sellers
- Triggers stops to collect liquidity

📌 Market does not move to reward crowd
It moves to **collect crowd's money**

7 Trader's Survival Rule — Patience at Levels



Bad Trader:

- ✗ Predicts
- ✗ Rushes
- ✗ Trades mid-range

Disciplined Trader:

- ✓ Waits for retest
- ✓ Waits for confirmation
- ✓ Trades only **clean reactions**

Money is made by **waiting**, not clicking.



Day 4 Homework (Advanced Observation)

1 Open any chart

2 Find:

- One **role reversal level**
- One **fake breakout example**

3 Answer:

- Where did retail enter?
- Where did smart money reverse price?

👉 Learn to **see traps, not chase candles**



Day 4 Mindset Rule

“The market does not trap smart traders.
It traps **emotional traders.**”